NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-II

COMPANY PETITION NO. (CAA)-92(ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. CA (CAA)-39(ND)/2022

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

ARIHANT LPG PRIVATE LIMITED

... Petitioner No.1 /Transferor Company No. 1

AND

TVL EQUIPMENTS PRIVATE LIMITED

... Petitioner No.2 /Transferor Company No. 2

WITH

TRANS VALVES (INDIA) PRIVATE LIMITED

... Petitioner No.3 /Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 15.06.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. L. N. GUPTA, HON'BLE MEMBER (T)

PRESENT:

For the Petitioner : Adv. Nikhil Malhotra, CS Chander Kant
For the RD : Adv. Niharika Tanwar
For the OL : Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana

ORDER

PER: SH. ASHOK KUMAR BHARDWAJ, MEMBER (J)

The captioned Petition has been preferred by the Transferor Company Nos. 1 & 2 and Transferee Company jointly under Section 230 to 232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. Arihant LPG Private Limited (hereinafter referred to as "the Petitioner No. 1/Transferor Company No. 1") having CIN U23203DL 1999PTC100416 is a company incorporated on 25.06.1999 under the Companies Act, 1956. The registered office of the Transferor Company No. 1 is situated at A-9, Jhilmil Industrial Area, Shahdara, New Delhi-110095.

3. TVL Equipments Private Limited (hereinafter referred to as "the Petitioner No. 2/Transferor Company No. 2") having CIN U28100DL 1995PTC072655 is a Company incorporated under the provisions of the Companies Act, 1956 on 22.09.1995, The registered office of the Transferor Company No. 2 is situated at A-9, Jhilmil Industrial Area, Shahdara, New Delhi-110095.

4. Trans Valves (India) Private Limited (hereinafter referred to as the "Petitioner No. 3/Transferee Company") having CIN U29120DL 1984PTC170448 is a Company incorporated under the provisions of the Companies Act, 1956 on 06.01.1984, the Transferee Company is having its registered office at A-9, Jhilmil Industrial Area, Shahdara, New Delhi-110095.

5. The Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

6. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Company. This Tribunal in the First Motion Application bearing No. C.A.(CAA) 39/ND/2022, vide Order dated 13.07.2022, had dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of the Petitioner Companies.

7. The Appointed date as per clause 1.1(a) of the Proposed Scheme of Amalgamation is 01.10.2021.

8. Subsequently, the Second Motion petition was moved by the Petitioner Companies in connection with the scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Company NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and to such other Objector(s), if any, and also for publication of the

said Scheme. Directions were issued, in terms of the Order dated 14.09.2022 passed by this Tribunal, requiring the Petitioner Companies to carry out a necessary publication with regard to the said Scheme in "Business Standard" (English) and (Hindi) Delhi Edition newspapers.

9. It is submitted by the Petitioner Companies that in compliance with the above-stated directions, they have filed an Affidavit of Service confirming that the aforesaid Notices of the present Company Petition were published on 09.03.2023 in the "Financial Express" (English) and (Hindi) Delhi Edition newspapers. However, since it was not found on record on the DMS portal of this Tribunal, we listed the matter for being spoken to. In the wake of publication dated 09.03.2023, the report qua which is found uploaded on DMS/e-portal of this Tribunal the statutory requirement in terms of the provisions of Rule 16(1) of the Companies (Arrangements and Amalgamations) Rules, 2016 stands complied with.

10. In response to the notice issued to it, the RD filed its report dated 20.01.2023 and has not raised any objection qua the scheme. The relevant excerpts of the report of RD read thus:

REPRESENTATION / AFFIDAVIT OF REGIONAL DIRECTOR NORTHERN REGION, MINISTRY OF CORPORATE AFFAIRS, NEW DELHI.

I, Sanjay shorey, Regional Director (NR), having my office at B-2 Wing, 2nd Floor, Pt. Deendayal Antyodaya Bhawan, CGO Complex, New Delhi-110003, do hereby solemnly affirm and sincerely state as follows:-

1. That I am the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi and in pursuance of the notification of the Ministry of Corporate Affairs Dated 19.12.2016 in S.O. 4090 (E) I am authorized to swear this Affidavit for & on behalf of the Central Government.

2. The Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, has been served with the copy of petition/application filed by the Petitioner/Applicant Companies pursuant to orders by Hon'ble Tribunal passed in Company Petition No. (CAA)/92/ND/2022 connected with Company Application No. 39/ND/2021 filed under Sections 230 to 232 of the Companies Act, 2013 before Hon'ble National Company Law Tribunal Bench at Delhi which has been examined.

3. That the Transferors and the Transferee Companies are having their registered office in the NCT of Delhi and within the jurisdiction of this Hon'ble National Company Law Tribunal Bench at Delhi.

4. That the office of Deponent received the reply of the Petitioner Company on 22.12.2022. The report of the Registrar of Companies, Delhi, has been received vide letter dated 13.10.2022. Copy of report of ROC, Delhi is marked as **Annexure - A**.

5. That as per the Scheme of amalgamation, the appointed date is 01.10.2021.

6. That as per Clause no. 4 of the scheme for Amalgamation provides for the protection of the interest of the employees and employee benefits of the Petitioner Companies.

7. That as per Clause no. 10 of the Scheme, the share exchange ratio of the company:

   a) 0.03051 fully paid up equity share of face value of Rs. 100 for every 1 equity share of the Arihant LPG Private Limited.

   b) 0.0589 fully paid up equity share of face value of RS 100 for every 1 equity share of the TVL Equipments Private Limited.

8. That there are no secured / unsecured creditors in Transferor Company 1 and Transferor Company 2. The meeting of Secured Creditors and Unsecured Creditors of the Transferee company has been dispensed with vide Hon'ble Tribunal vide order dated 13.07.2022.

9. That as per the report of Registrar of Companies, the Transferor Companies and Transferee Company have filed the Balance Sheet and Annual Return up to 31.03.2021. No Technical Scrutiny, Inspection and prosecution has been conducted in respect of the Petitioner Company.

10. That observations of the O/o ROC Delhi vide letter dated 13.19.2022 are as under: -

(I) *The Transferee company may kindly be directed to comply with the provision of section 232(3) (i) of the Companies Act, 2013 in regard to fee payable on its revised authorized share capital.*

(II) *As per petition the appointed date 01.10.2021, the company may be asked to clarify the significance of the same.*

(III) *Transferor company no. 1 does not have any revenue from operation since last two years. Therefore, it appears that the company is a dormant company u/s 455 of the Companies Act,2013.*

(IV) *Transferor company no. 2 does not have any revenue from operation since last two years. Therefore, it appears that the company is a dormant company u/s 455 of the Companies Act,2013.*

(V) *In case of all the Transferor and Transferee companies, directors have not signed on every page of financial statements.*

(VI) *As per the Financial Statements of Transferor company no. 2 for year ended 31.03.2021, it is seen that Registration Certificate of NBFC was cancelled by the RBI. The company may be asked to explain the reasons for cancellation of Registration Certificate of NBFC.*

(VII) *The Transferor company no. 2 has granted Loans/ Advances to related parties. The company may be asked to clarify the compliance of section 185* in this regard.

11. That Transferee Company vide its letter dated 09.12.2022 (**Annexure -- B**) has replied to the query of the Registrar of Companies as under : -

I. *The transferee Company shall pay the applicable fee on Revised Authorized Capital.*

II. *The Members of the all the Companies approved for scheme of Merger on 02.12.2021. Therefore Provisional financial were provided as of 30th September 2021 and valuation was done accordingly. And appointed date was fixed on 01.10.2021*

III. *The Transferor Company No. 1 (Arihant LPG Private Limited) does not have any revenue from operations since last two years, but the board was making all its efforts for the revival of the Company. Therefore, the management has decided to merge the Company with its group company*

so that assets of the companies could be synergized and burden of management could be reduced.

IV. *The Transferor Company No.. 2 (Mis TVL Equipments Private Limited) does not have any revenue from operations since last two years, but the board was making all its efforts for the revival of the Company. Therefore, the management has decided to merge the Company with its group company so that assets of the companies could be synergized and burden of management could be reduced*

V. *We do hereby confirm the financials of transferor and Transferee company is true and fair. Copy of financials of transferor and Transferee companies are attached in annexure -3 of this reply in which each page of the financials have signed.*

VI. *M/s TVL Equipments Private Limited (Transferor No. 2) had registered with RBI for NBFC activities vide Registration No. – B-14.02875 but the company could not carry on business in NBFC activities. Therefore Department of Non-Banking Supervision Regional Office, Reserve Bank of India, New Delhi cancelled the NBFC Registration Certificate of the company Dated 28.09.2018, After the cancellation of Registration, the Company is not carrying on the NBFC activities and further objects of the Company has been changed as well.*

VII. *The Transferor Company No. 2 (TVL Equipments Private Limited) had granted Loans and Advances at the time when company was registered an NBFC with complying the provisions of Companies Act. No Loans / advances has been given without complying the section 185 and other applicable provisions of the Act*

The submissions in para 1 to 11 above after having examined the Scheme, reply of the Petitioner Companies and report of Registrar of Companies for kind consideration of the Hon'ble Tribunal to satisfy with regard to the scheme and such orders as may be deemed fit and proper in the facts and circumstances of the case

NOTARY

DEPONENT

11. The OL has also filed its report dated 02.02.2023 and has not raised any objection towards the approval of the Scheme. The relevant excerpts of the OL report reads thus:

> *"13. That the Official Liquidator has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner till the date of filing of this Report.*
>
> *XXXX*
>
> *15. That the Official Liquidator on the basis of information submitted by the petitioner companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act, 2013."*

12. As can be seen from the record, the Income Tax Department has not filed its report/reply. In terms of the order dated 23.02.2023 passed by this Tribunal, despite opportunities given to the Jurisdictional Assessment Officer (ITO), none was present on its behalf. In the wake, the right of the ITO to put forth its stand qua the petition filed by the Petitioner Companies under Section 230-232 was forfeited and the Jurisdictional Assessment Officer (ITO) was proceeded against ex-parte.

14. During the course of hearing on 10.02.2023, Ld. Counsel appearing for the RD and OL categorically submitted that they have no objection qua the Scheme of Amalgamation.

15. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members of all the Petitioner

Companies to the proposed Scheme and there being no objections raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. **Ergo, in the sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

16. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

17. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under

the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

18. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor Company and Transferee Company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.10.2021, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Company, if any subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor Company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) The Transferee Company shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding the fees payable on its revised authorized share capital.

(ix) The Petitioner Companies shall clarify to the RD/RoC about the significance of the appointed date i.e., 01.10.2021.

(x) The Directors of the Petitioner Companies shall ensure that each page of the financial statements qua the Petitioner Companies filed with RoC are duly signed by them.

(xi) The Transferor Company No.2 would also explain to RD/RoC the reasons for cancellation of Registration Certificate of NBFC.

(xii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

19. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to Transferee Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

20. The Company Petition is disposed of in the aforesaid terms.

Sd/-
(L. N. GUPTA)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)